Quillwood Credit Partners

Origination and credit | Internal working paper

Indicative Term Sheet
Murray Grains Pty Ltd

A$29.0M seasonal working capital and capex facility

Prepared for Murray Grains Pty Ltd

Prepared by Quillwood Credit Partners

31 October 2025

Version 1.0, non-binding, subject to credit approval

Reference: QCP/TS/MG/2025-10-31

Date: 31 October 2025

Synthetic - for demonstration. All names, entities and figures are fictional.

Confidential. Prepared for the addressee only and not to be relied on by any other party.

Borrower	Murray Grains Pty Ltd
ABN	59 263 087 938
Address	14 Bookpurnong Road, Loxton SA 5333
Sponsor	Mallee Agri Holdings Pty Ltd
Lender	Quillwood Credit Partners
Date	31 October 2025
Version	1.0

Transaction details

1. Purpose and status

This term sheet sets out the indicative terms on which Quillwood Credit Partners (the Lender) would consider providing a facility to Murray Grains Pty Ltd (the Borrower). It is non-binding and creates no obligation to lend. All terms remain subject to final credit approval, satisfactory due diligence and documentation.

2. Facility terms

Item	Tranche A	Tranche B
Type	Revolving working capital	Term capex
Limit	A$20.0M	A$9.0M
Tenor	24 months	24 months
Use	Grain inventory, operating costs, grower payments, 2025/26 and 2026/27 harvests	Bunker expansion at Pinnaroo and Lameroo, Karoonda rail outload, automated weighbridge and sampling
Special feature	Annual 30 day clean down	Staged drawdown against certified works

Facility structure, total limit A$29.0M

3. Indicative pricing

Component	Indicative terms
Margin	3 month BBSW plus 4.25% p.a. on drawn amounts
Establishment fee	1.50% of total limit (A$435,000)
Commitment fee	0.90% p.a. on undrawn amounts

Pricing is indicative and subject to credit approval

4. Borrower and sponsor

Murray Grains Pty Ltd owns and operates six grain receival, storage and outload sites in the South Australian Riverland and Mallee, with total storage of 640,000 tonnes. It received approximately 1.15 million tonnes in FY2025. The ultimate parent is Mallee Agri Holdings Pty Ltd, owned by the Tilbrook family and associated entities. Graham Tilbrook is Managing Director, Sandra Kowalczyk is Finance Director and CFO, and Ian Rowntree is Independent Non-Executive Chair.

5. Security

- First registered mortgage over the freehold at all six sites: Loxton, Waikerie, Barmera, Pinnaroo, Lameroo and Karoonda.

- General security agreement over all present and after-acquired property of the Borrower, including grain inventory and receivables.
- Guarantee and indemnity from Mallee Agri Holdings Pty Ltd.
- Market value as is of A$68.5M (Corrigan Whitlock Valuers Pty Ltd, 22 August 2025), giving an LVR of 42.3% on the A$29.0M limit.

6. Financial summary

Metric	FY2025
Revenue	A$118.4M
Storage and handling revenue	A$61.2M
EBITDA	A$14.2M
EBITDA margin	12.0%
Interest expense	A$2.4M
Interest cover	5.9x
Net debt	A$22.8M
Leverage	1.6x
Peak seasonal leverage	2.4x

Source: FY2025 financial statements audited by Halvorsen Brandt Chartered Accountants

7. Proposed covenants

- Maximum leverage (net debt to EBITDA) of 3.0x, tested quarterly on a rolling 12 month basis.
- Minimum interest cover of 3.0x, tested quarterly.
- Maximum LVR of 55% on the most recent valuation.
- Monthly borrowing base and grain stock reporting during the March quarter.

8. Conditions precedent

- Credit approval by Quillwood Credit Partners.
- Executed facility and security documents, with legal opinion from Lindqvist Reece Lawyers.
- Satisfactory review of the Aldous Pryce Quantity Surveyors Pty Ltd report (5 September 2025) and construction contracts.
- Evidence of insurance over all sites and stored grain.
- Tranche B drawdowns conditional on QS certification of completed stages.

9. Key risks considered

- Drought or frost in the Mallee reducing receivals and grower liquidity.
- Grain price and basis risk on the trading book.
- Peak leverage of about 2.4x against a 3.0x covenant, leaving limited headroom.
- Capex completion required before the 2026/27 harvest.
- Reliance on the Managing Director and a small senior team.

10. Validity and acceptance

This indicative term sheet remains open until 30 November 2025. It reflects the information memorandum (4 August 2025), management accounts (17 October 2025) and reports referred to above.

Prepared by	Quillwood Credit Partners
Accepted for the Borrower	Name, title, signature, date

Sign-off block